

FX Daily: Headlines from Beijing can cap USD

The dollar is in a stronger position thanks to the lack of any progress in the Gulf, but the ongoing Trump visit to China could lead to some constructive headlines keeping risk sentiment supported and the dollar capped. In the UK, political risk still has room to rise as a leadership challenge against Starmer could be initiated today



Chinese President Xi Jinping with US President Donald Trump during a welcome ceremony in Beijing on 14 May 2026

📉 USD: Hot PPI raising some concerns

The US PPI report published yesterday was a bit of a shocker, with the headline jumping 1.4% MoM (consensus 0.5%) and the measure excluding food and energy by 1.0% MoM (consensus 0.3%).

The only silver lining is that the acceleration was heavily driven by airfares (+3% MoM), while inflation in components feeding into the Fed preferred core US PCE measure remained relatively muted. Still, the print rings alarm bells for the Fed, with December pricing edging above 10bp of tightening.

The bond market is also failing to show much stress. 10y breakeven rates (a measure of inflation expectations) are now at 2.5% and the 2y close to 3%. In our rates teams' view, that's still relatively tame. The break above 4.50% in 10-year yields would catapult us back to the chaotic

tariff summer of 2025 in terms of levels, but this is a much better-behaved bond market, and higher yields should support USD, not harm it as they did in 2025 when fiscal concerns were mounting.

A lack of progress in Gulf negotiations would argue for further USD gains, but much of the focus today and tomorrow will be on Trump's visit to China. Historically, face to face summits involving the US president have tended to generate a slew of conciliatory headlines, which can bolster risk assets. In particular, any hints that China could play a more active role in pressuring Iran towards a peace deal would likely be well received.

Ultimately, tangible progress would be required to push the dollar back to last week's lows, but constructive headlines out of Beijing should be sufficient to keep a cap on the greenback for now.

Francesco Pesole

⬆️ EUR: Short-term fair value at 1.180

The euro is still attracting buyers at 1.1700. While that might sound counterintuitive, given that oil prices are steadily above \$100, our model tells us that the short-term fair value is currently at 1.180. The main driver remains global equity resilience, which is offsetting both higher oil prices and tighter short-term swap rate differentials.

All this means two things. A break below 1.170 needs softer global risk sentiment to be sustainable, not just higher oil, and if thrust from AI enthusiasm in equities comes to a sudden halt (Nvidia's earnings next week are an event risk), the downside for EUR/USD could become significant.

Meanwhile, EUR/NOK broke the key 10.80 support yesterday. NOK remains in an ideal spot with stalled US-Iran negotiations, upbeat risk sentiment and attractive carry, and 10.70 may be broken soon too. But it's important to note that, unlike EUR/USD, the highest beta in our EUR/NOK model is actually oil prices, and any new de-escalation bets can cause rather sharp corrections in the (likely oversold) pair like the one we saw last week.

Francesco Pesole

➡️ GBP: Political headlines remain central

The latest from UK politics is that Health Secretary Wes Streeting is reportedly preparing to start a leadership challenge against PM Keir Starmer, who has pledged to fight on. Both the pound and gilts seemed rather relaxed about this development. That's because a potential Starmer departure had been priced in to some extent and Streeting belongs to the most centrist branch of the Labour Party. Incidentally, leadership challenges can take months, and there are some impracticalities in pricing non-imminent events in an environment of potential rate hikes and energy price volatility.

Previous instances also suggest that the markets are more preoccupied with Manchester mayor Andy Burnham's aim to replace the PM, given previous comments on potentially abandoning the fiscal rule.

Risk premium on the pound, measured by EUR/GBP short-term overvaluation, remains contained at around 0.3%. This confirms markets aren't very concerned, but also that downside risks for the pound remain elevated if gilts take a hit from fresh political headlines.

This morning, 1Q GDP accelerated in line with expectations to 0.6% QoQ. The monthly figure for March was stronger than consensus (0.3% MoM). We're still very sceptical of these numbers, given 1Q GDP has come in much stronger than the rest of the year since 2022, pointing to seasonal adjustment problems.

Francesco Pesole

➔ TRY: A cautious tone and a new forecast

The central bank will publish its inflation report today for the first time since the start of the US-Iran conflict, which should reflect the latest stronger inflation prints and higher global energy prices. The inflation forecast range is likely to be increased from February's 15-21%. However, the question is whether the CBT will also change the interim target for the end of the year from the current 16%. These projections were based on an average oil price assumption of \$61/bbl for 2026 with \$93/bbl in the ING forecast (now roughly 50% higher).

Turkey is the most exposed country to oil prices within the CEEMEA region and disinflation saw some cracks even before the conflict began, complicating the central bank's mission. April inflation saw a jump from 30.9% to 32.4% YoY and 1.9% to 4.2% MoM, however, momentum has been growing since the beginning of the year. Add to this [the widening current account deficit](#) in the first month of the US-Iran conflict to around 2.6% of GDP (12-month rolling). The CBT is thus in a difficult situation and we will hear a cautious tone today. We expect inflation at the end of the year to be 28.5%, which should keep the CBT on hold in the coming months.

The market is pricing in a first rate cut in September and around 300bp of easing this year, which is roughly in line with our forecast at this point and it seems the market can get more hawkish from here if the global situation escalates further. FX has seen a more dynamic last two months, with USD/TRY remaining on an upward trajectory and the central bank allowing a bit more depreciation pace in recent weeks (around 1.0% MoM before the US-Iran conflict and 1.6% currently), but still leaving decent carry on the table.

Even though we have seen some reduction in FX reserves, they remain safely high, and long TRY positioning has started to recover after the March reduction. Therefore, we do not expect much change here at this point apart from the thinning carry.

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